

Accessing private markets: Evergreen and drawdown funds

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Today, institutional investors remain as important as ever, representing large pools of long-term capital that are used to fund pension schemes, support academic institutions, and even play a role in monetary and fiscal policies in some of the most developed economies. However, the role of the individual investor's relationship with capital markets has grown in significance, coming to the table with US\$150 trillion household net worth that now equates to institutions globally.

~Aaron Filbeck, Managing Director, Head of UniFi by CAIA, "Crossing the Threshold", June 2024

Preview

While the institutional and individual markets are of similar size, access to private markets had been largely limited to institutions and family offices. Now, through product innovation and willingness of institutional managers to bring products to the wealth channel, individual investors can access these versatile and valuable tools.

With the emergence of evergreen funds, investors have a wide range of options when building portfolios with private markets. When considering how best to access private markets, one of the first considerations is what vehicle type is the most efficient and appropriate for an investor to meet its desired goals: evergreen, drawdown or both?

Accessing private markets through an allocation to both evergreen and drawdown funds can provide an optimal outcome from both an operational and investment perspective. High-net-worth families may use both structures, with children and trusts opting for evergreen funds due to accreditation, and larger pools leveraging drawdown funds.

From a practice perspective, advisors may find it more efficient to allocate capital using evergreen funds, due to their evergreen nature, lower minimums, and the cumbersome nature of managing capital calls and distributions. These funds also provide more flexibility in getting investors comfortable with these newer investments, rather than the compressed timeframe of drawdown funds, subscription period.

In conclusion, we believe that a combined allocation to evergreen and drawdown funds represent an efficient way for an investor to gain exposure to private markets. How an advisor allocates capital is dependent on several factors including wealth levels, minimums, liquidity needs, and time horizon among others.

Product evolution has evolved to provide more flexibility for advisors and investors to gain exposure to the private markets. To learn more about accessing private markets, please visit our Alternatives by FT website. And if you haven't already done so, please subscribe to the Alternative Allocations podcast series to hear from industry experts.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal. Equity securities are subject to price fluctuation and possible loss of principal.

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